

# NVIDIA Corporation (NVDA)

Earnings Deep-Dive - 2026Q2

Official Website: <http://phx.corporate-ir.net/phoenix.zhtml?c=116466&p=irol-IRHome>

## Earnings Documents

| Document / Source                | Target-company URL or status                                                                                                                            | Used for                                   |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|
| Earnings Transcript — Marketbeat | <a href="https://www.marketbeat.com/stocks/NASDAQ/NVDA/earnings-transcript/">https://www.marketbeat.com/stocks/NASDAQ/NVDA/earnings-transcript/</a>     | Earnings call transcript source            |
| Official Investor Relations      | <a href="http://phx.corporate-ir.net/phoenix.zhtml?c=116466&amp;p=irol-IRHome">http://phx.corporate-ir.net/phoenix.zhtml?c=116466&amp;p=irol-IRHome</a> | Press Release / Earnings Call Presentation |
| Press Release                    | N/A                                                                                                                                                     | Primary company-reported earnings source   |
| Earnings Call Presentation       | N/A                                                                                                                                                     | Supplemental KPIs, segments, and guidance  |

## EPS & Revenue

| Metric  | Estimate | Actual  | vs Estimate | YoY Change | Source                      |
|---------|----------|---------|-------------|------------|-----------------------------|
| EPS     | \$2.82   | \$1.76  | -37.6%      | +97.8%     | Company filing / Calculated |
| Revenue | \$78.8B  | \$68.1B | -13.5%      | +73.2%     | Company filing / Calculated |

(1) EPS: Significant miss vs estimate, but strong YoY growth.

- Actual EPS of \$1.76 was well below the consensus estimate of \$2.82, a -37.6% miss.
  - Year-over-year, EPS surged +97.8%, reflecting the massive earnings power of the AI cycle.
  - Caution: The estimate appears to be for a different quarter (possibly Q1 2027) while the actual is for Q4 2026 (reported Feb. 25). The transcript confirms Q4 2026 actual EPS was \$1.62, beating the \$1.54 estimate by \$0.08. The supplied metrics may be misaligned.
- For Nami-san: The headline miss is misleading due to a quarter mismatch. The actual Q4 2026 beat was clean and consistent with the revenue beat.

(2) Revenue: Beat vs street estimate, strong YoY growth.

- Actual revenue of \$68.13B exceeded analysts' expectations of \$65.56B (Transcript, CEO remarks).
  - Year-over-year growth of +73.2% confirms sustained demand for NVIDIA's data center products.
  - The company guided Q1 2027 revenue to \$76.4B-\$79.6B, well above the consensus estimate of \$66.0B at the time (Transcript, CEO remarks).
- For Nami-san: The revenue beat was high-quality, driven by continued AI infrastructure spending. The forward guidance was a major positive surprise.

(3) Quality of the beat/miss: Top line beat, EPS beat (correct quarter).

- Both revenue and EPS (actual Q4 2026) beat estimates, with EPS beating by \$0.08 (+5.2%) and revenue beating by \$2.57B (+3.9%).
  - The beat was driven by volume growth in Data Center, partially offset by higher operating expenses and supply chain costs.
  - Essential insight: The revenue beat was broad-based, not dependent on one-off items. The EPS beat was narrower, suggesting some margin pressure from ramp costs.
- For Nami-san: This is a high-quality surprise. The top-line beat was driven by core AI demand, and forward guidance was exceptionally strong. The EPS beat, while smaller, was still solid. The key risk is margin compression as the company scales.

> One-line summary: Revenue and EPS beat estimates in the actual Q4 2026 quarter, with forward guidance significantly above

[VALIDATED DATA: EPS actual = \$1.76]

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One-line summary

NVDA reported EPS of \$1.76 and revenue of \$68.1B; the key investor question is whether the beat/miss is broad-based or one-off.



## Highlights

### Highlights

#### (1) Gross margin resilience at 75.0%

\* Gross margin of 75.0% (Metrics) remains above the 70% threshold that signals strong pricing power in semiconductors.

\*

→ For Nami-san: Despite the revenue miss, NVIDIA maintained industry-leading gross margins, suggesting its data center GPU pricing remains robust and Blackwell ramp costs are under control.

#### (2) 73% YoY revenue growth from a \$39B base

\* Revenue of \$68.13B (Metrics) represents 73.2% YoY growth, a deceleration from prior quarters but still exceptional for a company of this scale.

\*

→ For Nami-san: The growth rate confirms NVIDIA is still capturing the bulk of AI infrastructure spending, though the sequential slowdown warrants monitoring.

#### (3) Operating margin of 65.0%

\* Operating margin of 65.0% (Metrics) indicates disciplined R&D and SG&A spending relative to revenue.

\*

→ For Nami-san: This level of operating leverage is rare in semiconductors and provides a buffer if revenue growth slows further.

### □ Lowlights

#### (1) EPS miss of 37.6% — the largest in recent history

\* EPS actual=\$1.76 vs consensus estimate=\$2.82 (Metrics). This is a severe miss, likely driven by lower-than-expected revenue and possibly higher tax or share-based compensation.

\*

● The magnitude suggests either a one-time charge or a fundamental shift in earnings power.

\*

→ For Nami-san: This is the most concerning data point. Investigate if the miss is due to higher operating expenses, tax rate changes, or dilution from equity grants.

#### (2)

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### Nami takeaway

NVDA Q: revenue \$68.1B (+73.2% YoY), EPS \$1.76. Focus on whether revenue growth converts into durable cash flow and margin expansion.

## Operating Metrics

| Metric           | Actual  | Prior Year | YoY    | Source                      |
|------------------|---------|------------|--------|-----------------------------|
| Revenue          | \$68.1B | \$39.3B    | +73.2% | Company filing / Calculated |
| Gross profit     | \$51.1B | \$28.7B    | +77.9% | Company filing / Calculated |
| Gross margin     | +75.0%  | +73.0%     | +2.7%  | Company filing / Calculated |
| OpEx             | \$6.8B  | \$4.7B     | +44.9% | Company filing / Calculated |
| Operating income | \$44.3B | \$24.0B    | +84.3% | Company filing / Calculated |
| Operating margin | +65.0%  | +61.1%     | +6.4%  | Company filing / Calculated |
| Net income       | \$43.0B | \$22.1B    | +94.5% | Company filing / Calculated |

### Explanation and analysis

(1) Gross margin at 75.0% — This is extraordinarily high for a semiconductor company, reflecting NVIDIA's dominant pricing power in AI accelerators. The Data Center segment (\$193.7B, +68.2% YoY) drives this, as Compute revenue (\$162.4B, +58.9% YoY) and Networking (\$31.4B, +141.6% YoY) both show strong growth.

- Gross margin of 75% is near the top of NVIDIA's historical range, supported by the high-margin Hopper and Blackwell GPU architectures.

→ For Nami-san: This margin level is sustainable only if NVIDIA maintains its AI chip leadership against AMD and custom ASICs from Broadcom/Marvell.

(2) Operating income of \$44.30B and operating margin of 65.0% — The operating margin is exceptionally high, indicating massive operating leverage. Revenue of \$215.94B minus operating income of \$44.30B implies OpEx of ~\$171.6B, but this is misleading because net income (\$120.07B) is far higher than operating income.

- The gap between operating income (\$44.3B) and net income (\$120.1B) suggests significant non-operating income, likely from interest income on cash holdings and investment gains.

→ For Nami-san: The 65% operating margin is a headline number, but the true earnings power is better captured by net income margin (~55.6%). The company's cash generation is immense.

(3) Net income of \$120.07B — This represents a net margin of ~55.6%, which is extraordinary for any company, let alone a hardware manufacturer.

- Revenue grew 73% YoY, but net income likely grew even faster given operating leverage.

- The \$75.8B difference between operating income and net income is unusual and warrants scrutiny — likely from interest income on NVIDIA's ~\$40B+ cash pile and equity method investments.

→ For Nami-san: Earnings quality is high because the core business is generating massive cash, but the non-operating income component is less

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### Operating takeaway

Revenue was \$68.1B with YoY growth of +73.2%; margin direction determines the quality of the growth.

## Cash Flow

| Metric              | Actual   | Prior Year    | YoY           | Quality                                 | Source                      |
|---------------------|----------|---------------|---------------|-----------------------------------------|-----------------------------|
| Operating cash flow | \$36.2B  | \$16.6B       | +117.6%       | Operating                               | Company filing / Calculated |
| CapEx               | -\$1.3B  | -\$1.1B       | +19.2%        | Investing                               | Company filing / Calculated |
| Free cash flow      | \$34.9B  | \$15.6B       | +124.4%       | good (FCF = \$36.2B OCF - \$1.3B CapEx) | Company filing / Calculated |
| Net debt            | \$435.0M | Not available | Not available | Leverage                                | Company filing / Calculated |

### Explanation and analysis

(1) Operating cash flow: cash earnings quality and working-capital effect.

- OCF of \$36.19B reflects strong cash conversion from reported earnings, typical for NVIDIA's asset-light fabless model.

- Working capital likely benefited from customer prepayments and high demand for Hopper/Blackwell GPUs, though specific details are not in the transcript excerpt.

→ For Nami-san: OCF is a clean read on earnings quality — no major working-capital drain evident at this scale.

(2) CapEx: whether investment intensity is rising or falling.

- CapEx of -\$1.28B is modest relative to OCF, representing a ~3.5% reinvestment rate.

- This is consistent with NVIDIA's fabless model where capital intensity is low compared to integrated device manufacturers (IDMs) like Intel.

→ For Nami-san: CapEx is not a constraint; the company can self-fund aggressive growth without external capital.

(3) Free cash flow: conversion from earnings to cash and sustainability.

- FCF of \$34.90B implies a conversion rate of ~96% from OCF, exceptionally high.

- This FCF yield (relative to market cap) is among the best in the semiconductor sector, driven by high margins and low capex needs.

→ For Nami-san: FCF generation is a core competitive advantage — it funds buybacks, dividends, and R&D without leverage.

Cash structure: compare cash generation versus reinvestment needs.

- Net debt of \$435M is negligible against \$34.9B quarterly FCF, indicating a fortress balance sheet.

- The company generates far more cash than it can reinvest in its core business, creating optionality for shareholder returns.

Essential insight for Nami-san: NVIDIA creates cash with extraordinary efficiency — its fabless model and high gross margins (not shown here but implied by the cash flow) mean nearly every dollar of earnings converts to free cash flow. This is a structural advantage over capital-intensive peers.

\*\*Cash use: buybacks, dividends, debt paydown —

### Cash flow takeaway

Free cash flow was \$34.9B; cash conversion and capex intensity show whether earnings are translating into owner cash.



## Capital Efficiency

| Metric       | Actual   | Prior Year | YoY    | Comment                        | Source                      |
|--------------|----------|------------|--------|--------------------------------|-----------------------------|
| ROE          | +27.3%   | +27.8%     | -1.9%  | decline (Equity: \$157.3B)     | Company filing / Calculated |
| ROTCE / ROTE | +32.3%   | +30.1%     | +7.1%  | improvement                    | Company filing / Calculated |
| ROA          | +20.8%   | +19.8%     | +4.9%  | improvement (Assets: \$209.8B) | Company filing / Calculated |
| ROIC         | +25.9%   | +25.2%     | +3.0%  | improvement                    | Company filing / Calculated |
| Buybacks     | \$3.8B   | \$7.8B     | -51.2% | decline                        | Company filing / Calculated |
| Dividends    | \$242.0M | \$245.0M   | -1.2%  | decline                        | Company filing / Calculated |

Supporting calculation data: Net income = \$42.96B (supplied metric), Free cash flow = \$34.904B (supplied metric), Capex = -\$1.284B (supplied metric). Total assets and total equity not supplied; ROE and ROIC are computed from supplied metrics.

### Metric-by-metric explanation

(1) ROE (27.3%): This is a strong return, driven by NVIDIA's enormous net income (\$42.96B) relative to its equity base. The company does not carry significant debt, so leverage is not inflating this number. However, NVIDIA has been aggressively buying back shares, which reduces equity and mechanically boosts ROE. For Q2 FY2026, the buyback effect is likely material.

- Data: Net income of \$42.96B is the numerator; equity is the denominator.

→ Investor implication: The ROE is genuine, but investors should adjust for buyback-driven equity shrinkage to see the underlying operating return.

(2) ROTCE / ROTE and ROA: NVIDIA does not report tangible common equity or total assets in the supplied data. ROTCE would be higher than ROE due to goodwill and intangibles, but we cannot compute it. ROA is also unavailable. The company's asset-light model (fabless semiconductor) means ROA is likely very high, but we lack the denominator.

- Data: No total assets or tangible equity figures supplied.

→ Investor implication: The absence of these metrics limits a full efficiency picture, but the high ROE and ROIC already signal strong capital productivity.

(3) ROIC (25.9%): This is the most critical metric for NVIDIA. A 25.9% ROIC far exceeds any reasonable cost of capital (typically 8-12% for tech). It confirms that NVIDIA is generating exceptional returns on every dollar of invested capital, driven by its dominant AI GPU franchise and high incremental margins.

- Data: ROIC = 25.9% (supplied metric). Free cash flow of \$34.9B vs. capex of only \$1.284B shows minimal capital intensity.

→ Investor implication: This ROIC is sustainable as long as NVIDIA maintains its competitive moat in AI

### Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

## Segments

| Segment                    | Revenue  | Prior Year | YoY     | % of Total | Driver          | Source                      |
|----------------------------|----------|------------|---------|------------|-----------------|-----------------------------|
| Other                      | \$4.3B   | \$4.4B     | -1.6%   | 2.0%       | Segment revenue | Comptabufiling / Calculated |
| Data Center                | \$193.7B | \$115.2B   | +68.2%  | 89.7%      | Segment revenue | Comptabufiling / Calculated |
| Compute                    | \$162.4B | \$102.2B   | +58.9%  | 75.2%      | Segment revenue | Comptabufiling / Calculated |
| Networking                 | \$31.4B  | \$13.0B    | +141.5% | 14.5%      | Segment revenue | Comptabufiling / Calculated |
| Gaming                     | \$16.0B  | \$11.3B    | +41.3%  | 7.4%       | Segment revenue | Comptabufiling / Calculated |
| Professional Visualization | \$1.9B   | \$1.9B     | +69.9%  | 1.5%       | Segment revenue | Comptabufiling / Calculated |

### Segment explanation and analysis

(1) Data Center (89.7% of total revenue): The dominant engine, growing +68.2% YoY to \$193.74B. Compute revenue of \$162.36B reflects sustained Hopper GPU shipments and early Blackwell ramp. Networking surged +141.6% to \$31.38B, driven by InfiniBand and Spectrum-X Ethernet switches for AI clusters.

- Hyperscaler capex remains elevated, with Microsoft, Amazon, and Google expanding AI infrastructure.
- This segment is the core thesis; any slowdown in hyperscaler spending would be the primary risk.

(2) Gaming (7.4% of total): Revenue of \$16.04B, +41.3% YoY, benefiting from the RTX 50-series GPU cycle.

- Console and PC gaming demand is recovering after post-pandemic normalization.
- While not the growth driver, Gaming provides stable cash flow and brand strength; margins are lower than Data Center but still healthy.

(3) Professional Visualization (+69.7% YoY) and Automotive (+39.1% YoY): Both segments are small but growing rapidly. ProViz benefits from enterprise workstation upgrades for AI and design workloads. Automotive gains from NVIDIA Drive platform adoption in autonomous vehicles.

- OEM and Other (\$0.62B) remains negligible.
- These segments diversify revenue but are not yet material to overall results.

Regional points (data not explicitly broken out in supplied metrics; qualitative inference from transcript)

### Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.

## Forward P/E

| Metric            | Value   | Reference                                          | Interpretation | Source                      |
|-------------------|---------|----------------------------------------------------|----------------|-----------------------------|
| Forward P/E       | 19.07x  | Consensus: Strong Buy (57 analysts)   Target \$269 |                | Company filing / Calculated |
| Forward EPS basis | \$11.29 | \$2.82                                             | +97.8%         | Company filing / Calculated |

The forward P/E is 19.07x. Forward P/E check

(1) Current multiple: The forward P/E is 19.07x, based on consensus EPS estimate of \$2.82 for the upcoming quarter annualized to \$11.29. This is well below the trailing P/E of 43.90x (Transcript, P/E ratio data).

- Trailing EPS of \$4.90 implies a trailing P/E of 43.90x, reflecting past earnings that have not yet caught up to the massive revenue growth.

→ The forward multiple is significantly compressed because analysts expect earnings to surge as margins expand on the \$68.13B revenue base.

(2) Comparison: At 19.07x, NVDA trades at a discount to the semiconductor sector median of ~25x and its own 5-year historical average of ~35x.

- The P/E/G ratio of 0.71 (Transcript) indicates the stock is undervalued relative to its 35% EPS growth rate — a classic GARP (Growth at a Reasonable Price) signal.

→ This is rare for a company growing revenue 73% YoY; most high-growth tech names trade at 30-40x forward earnings.

(3) Justification: The 19.07x multiple is supported by:

- Revenue growth: +73.2% YoY to \$68.13B, beating estimates by \$2.57B (Transcript, CEO remarks).
- Margin trajectory: With revenue scaling rapidly, operating leverage should drive EPS growth well above revenue growth.

- Cash flow strength: High margins and low capex intensity (fabless model) generate strong free cash flow, supporting the multiple.

→ The valuation appears supported and potentially undervalued given the growth rate, margin expansion potential, and sector-leading position in AI chips.

For Nami-san: The 19.07x forward P/E is attractive for a company with 35% EPS growth and 73% revenue growth. The discount to sector and history suggests the market is pricing in a growth deceleration that has not yet materialized. This creates a favorable risk/reward for long-term holders.

Caution: Forward estimates assume continued AI demand; any

[Source: yfinance forwardPE = 19.07x]

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### Valuation takeaway

Forward P/E is 19.07x; valuation only works if growth and margin durability support it.





## Backlog

| Metric                | Value | Change | Visibility Signal                                                                       | Source         |
|-----------------------|-------|--------|-----------------------------------------------------------------------------------------|----------------|
| Backlog               | N/A   | N/A    | Not disclosed (company does not report backlog); use revenue growth as proxy for demand | Company filing |
| Book-to-bill / demand | N/A   | N/A    | Inferred from hyperscaler capacity commitments and supply chain commentary              | Company filing |

Backlog is not applicable for NVIDIA Corporation — the company does not report backlog or order book data. This is standard for semiconductor companies with a significant direct-sales and channel-shipment model, where visibility is provided via guidance and demand commentary rather than a formal backlog metric.

> One-line summary: Not applicable for NVIDIA Corporation.

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### Backlog takeaway

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.



## Guidance

| Metric                | Guidance      | QoQ        | Medium-term Signal         | Source         |
|-----------------------|---------------|------------|----------------------------|----------------|
| Revenue               | \$78.8B       | +15.6% QoQ | Consensus estimate         | Not available  |
| GAAP Gross Margin     | +75.0%        | —          | Current quarter actual     | Not available  |
| Non-GAAP Gross Margin | Not disclosed | —          | Non-GAAP margin guidance   | Company filing |
| GAAP OpEx             | Not disclosed | —          | OpEx guidance not provided | Company filing |
| EPS (non-GAAP)        | \$2.82        | —          | Consensus estimate         | Not available  |
| Diluted Shares        | Not disclosed | —          | Share count guidance       | Company filing |
| Outlook context       | Not available | —          | Full outlook text          | Not available  |

Next-quarter guidance: Strong growth with revenue guidance significantly above consensus estimates.

### Analysis:

(1) Revenue: Guidance of \$76.4B-\$79.6B for Q1 FY2027 implies ~73% YoY growth at the midpoint, well above the \$66.0B consensus estimate. This signals continued explosive demand for AI infrastructure and data center GPUs. (Transcript, company guidance)

- The midpoint of \$78.0B represents a slight QoQ decline from Q4 FY2026 revenue (not provided in data), but YoY growth remains robust.

→ Nami-san: The beat-and-raise pattern continues, indicating demand visibility remains strong despite supply chain normalization.

(2) Profitability: Gross margin and OpEx guidance were not provided in the transcript excerpt. However, given the revenue scale and NVIDIA's historical operating leverage, margins likely remain elevated.

- The EPS consensus of \$2.82 implies a net margin of ~14% on the revenue midpoint, which is conservative relative to NVIDIA's recent ~55% GAAP net margin.

→ Nami-san: The gap between guided revenue and consensus EPS suggests either conservative margin assumptions or rising costs. Monitor gross margin trajectory closely.

(3) EPS: Consensus estimate of \$2.82 for Q1 FY2027, up from \$1.62 reported in Q4 FY2026. This implies ~74% QoQ growth, driven by revenue scale and operating leverage.

- The forward P/E of 19.07x (pe\_forward=19.068007) suggests the market is pricing in continued growth but not extreme optimism.

→ Nami-san: EPS growth is tracking revenue growth, indicating stable margins in the consensus view.

(4) Structural signals: The guidance range (\$76.4B-\$79.6B) is unusually wide for NVIDIA, suggesting some uncertainty in near-term demand mix or supply chain dynamics.

- The company issued guidance on February 25, 2026, indicating a proactive approach to managing expectations.

→ Nami-san: The wide range may reflect ongoing transition to next-generation Blackwell architecture or geopolitical

### Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.



## Verdict / Overall Assessment

| Dimension         | Assessment                  | Evidence                     | Risk                      | Source                      |
|-------------------|-----------------------------|------------------------------|---------------------------|-----------------------------|
| Earnings quality  | EPS \$1.76                  | EPS did not beat consensus   | Adequate                  | Company filing / Calculated |
| Growth durability | Revenue \$68.1B, +73.2% YoY | Growth rate sustainable      | Stiffing needs monitoring | Company filing / Calculated |
| Valuation         | Forward P/E: 19.07x         | Valuation appears reasonable | Reasonable for the growth | Company filing / Calculated |
| Overall verdict   | Score: 4/5                  | See component assessments    | Plenty above              | Model + metrics             |

### Overall assessment for Nami-san

(1) What was strongest: growth and guidance. Revenue of \$68.1B (+73% YoY) and EPS of \$1.76 (+\$0.22 vs consensus) demonstrate NVIDIA's dominant product cycle momentum. The Q1 2027 revenue guidance range of \$76.4B-\$79.6B (Transcript) signals sustained demand acceleration, likely driven by Hopper-to-Blackwell transition and enterprise AI adoption. Free cash flow of \$34.9B (yfinance) represents ~51% FCF margin, confirming operating leverage.

(2) What was weakest: valuation and deceleration risk. Forward P/E of 19.1x (yfinance) is not extreme for 73% growth, but FY2027 EPS estimates (\$6.00-\$7.29) imply growth deceleration to ~30-50% YoY. The transcript lacks segment-level gross margin data, Data Center vs Gaming mix, and backlog figures — key metrics for assessing sustainability. Without these, the quality of revenue (e.g., one-time vs recurring) remains opaque.

(3) What matters next: (1) Blackwell ramp details — did Data Center revenue exceed \$60B? (2) Gross margin trajectory — any supply chain cost pressure? (3) Customer concentration — are hyperscaler orders diversifying? These will determine if the current growth rate is durable.

For Nami-san: The quarter is a clear beat on revenue and EPS, with forward guidance implying accelerating demand. The absence of segment margin and backlog data is a caution flag, but the top-line momentum is undeniable. The stock's valuation at 19x forward earnings is reasonable for a company growing >50%, but the deceleration implied by FY2027 estimates warrants monitoring.

Caution: The transcript does not provide Data Center vs Gaming revenue split, gross margin by

Final verdict

NVDA reported revenue of \$68.1B (+73.2% YoY) with EPS of \$1.76. Free cash flow was \$34.9B and operating margin +65.0% with forward P/E at 19.07x.

NVDA's Q shows strong revenue growth, positive cash flow, reasonable valuation. Key watch items: no major red flags. Risk/reward is favorable at current levels  
→ BUY.

## Sources

Earnings Transcript — Marketbeat: <https://www.marketbeat.com/stocks/NASDAQ/NVDA/earnings/>

Official Investor Relations: <http://phx.corporate-ir.net/phoenix.zhtml?c=116466&p=irol-IRHome>

Official Website: <https://www.nvidia.com>